

# GL-ProQ-en-046

## Supplier Performance Monitoring Procedure

**Process Owner:** PRATIBHA PATTANSHETTI

Approver 1: CHARLES JERVAIS

Approver QMS: ERIC JACQUOT

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**Purpose** The purpose of this procedure is to describe the process used to measure, evaluate, and monitor Schneider Electric’s supply quality performance.

**Scope** This process applies to all new and existing Schneider Electric manufacturing sites, plants, sub-assembly plants, Distribution Centres, Schneider Procurement Hub, and Virtual factories (Entity PO with OG Production Purchases).

Out of scope: Service and solution suppliers, Indirect Procurement suppliers, IG suppliers.

**Target Audience** Procurement, Quality and Supply Chain team members

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## References

- **GL-DirQ-en-050 Schneider Electric Supplier Quality Management Directive**
- **GL-DirQ-en-009 Internal IMS Audit Directive**
- **GL-GuiQ-en-031 Guideline for Supplier Quality KPI**
- **GL-DirQ-en-040 Global Cost of Poor Quality Directive**
- [Schneider Supplier Quality Excellence Guide](#)
- [Internal Schneider Electric Encyclopaedia iSEE](#)

## Process Inputs

- Every month, defect data from all Schneider GSC manufacturing sites/Plants, sub-assembly plants, Distribution Centres, Schneider Procurement Hub, and Virtual factories (Entities PO with OG Production Purchases ) will be captured in the [Custom App/](#) Defect management/SSP SCM 2.0 Platform.
- All supplier performance data is recorded in [PRISM](#)
- Action plans are requested from suppliers via [bFO Platform \(I2P\) in SupplyOn](#) platform

## Supplier Performance Monitoring Process (Excluding Delivery)

All suppliers are required to meet and continuously improve on KPI's related to quality and Quality responsiveness as contracted by Schneider Electric.

KPI's are reported monthly by all Schneider Electric entities to all suppliers via Supplier Performance Scorecards in SE Supplier Portal (SSP-SRM). Link for scorecard: [Supplier Scorecard: Supplier Scorecard - Tableau Server](#). These are to be utilized by internal stakeholders and reviewed during business and/or quarterly performance reviews with our supply base.

- Supplier PPM (Parts per Million) is a quality performance metric that measures the number of defective parts supplied per one million parts delivered.

$$S\text{-PPM} = \frac{DP1+DP2+DP3}{\text{Total Parts received (TPR)}} \times 1\,000\,000$$

were

DP1: Number of defective parts found at Schneider incoming inspection that are supplier related.

DP2: Number of defective parts found on Schneider supply chain process that are supplier related.

DP3: Number of defective parts found at Customer site that are supplier related.

Total Parts Received: Number of parts received during the month.

- SIO (Supplier issue occurrence)

Supplier Issue Occurrence (SIO) is a quality performance metric that quantifies the number of issues originating from suppliers that impact the organization's manufacturing processes

$SIO = \Sigma(SQI)$

Where: SQI: Supplier Quality Issue

- **SQS\*** (Supplier Quality Score), is the method used to grade Supplier Quality Performance impact to Schneider Electric plants, calculated considering 3 main KPI's:
  - ✓ Defect Scores
  - ✓ Defect Severity score
  - ✓ Supplier Quality Responsiveness\*\*

***\*SQS is applicable only to part and product Suppliers (including Brand Labelling and contract manufacturing suppliers).***

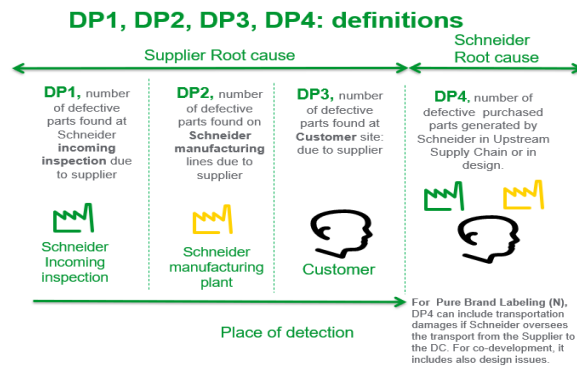
***\*\* Supplier Responsiveness KPI will be measured by Schneider Electric. starting by Jan 2026***

## Overall Impact of the Upstream Supply Chain

### U-PPM (Upstream Parts Per Million)

The number of defective parts or components per one million parts identified in the upstream supply chain, regardless of the underlying cause or location of defect identification, at the operational site level of Schneider Electric.

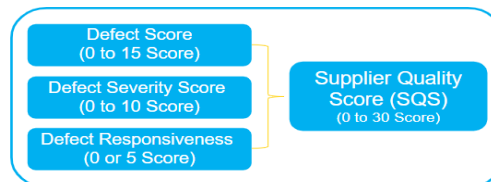
$$U-PPM = \frac{DP1 + DP2 + DP3 + DP4}{\text{Total Parts Received (TPR)}} \times 1\,000\,000$$



### Note:

- For G8, H9, and equivalent categories (specifically full-product builds shipped directly to Schneider Electric distribution centres) any defects attributable to product design or logistics related damage (in cases where design and logistics ownership rest with Schneider Electric) shall be reported under the DP4 defect type classification

**SQS calculations in Detail:** Supplier Quality Score (SQS) is tracked monthly and reported via Supplier Performance Scorecards updated every month. (Refer **GL-GuiQ-en-031 Guideline for Supplier Quality KPI** Guide for detailed SQS KPI calculation.)



The Supplier Performance Monitoring (see [process map in Appendix A](#)) includes:

- **SQS for part and/or product suppliers**
- **SQS for Brand Labelling suppliers**
- **Nonconformances Management**
- **Most Impacting Quality Suppliers**

**SQS for part  
and/or product  
suppliers**

- **Supplier Defect Score** is calculated irrespective of quantity receipt & category PPM reference.

The Defect Score is calculated based on the defect quantities reported in DP1, DP2, and DP3.

The final Defect Score is assigned with the lowest of DPx Scores. (Lowest defect score from the below matrix is considered)

Defect score calculation Matrix based on

| DP1                 | DP2               | DP3              |
|---------------------|-------------------|------------------|
| 15<br>(0 pcs)       | 15<br>(0 pcs)     | 15<br>(0 pcs)    |
| 9<br>(1 – 10 pcs)   | 6<br>(1 – 5 pcs)  | 3<br>(1 pcs)     |
| 6<br>(11 – 300 pcs) | 4<br>(6 – 25 pcs) | 2<br>(2 – 5 pcs) |
| 3<br>(>300 pcs)     | 2<br>(>25 pcs)    | 1<br>(>5 pcs)    |

- **Defect Severity Score** is calculated based on numbers of SIOs occurred (one issue equal to one SIO) and points summed up based on severity impact.
  - If an SIO is classified under business risk escalation, offer safety or recall the SQS score will automatically default to zero
  - If a deviation (no sorting or rework needed) is accepted by Schneider Electric, count 1 in the matching DP (Defective part) and count 1 in SIO for the entire volume covered by the deviation.
  - Defect Severity Score also considers the weightage based on number of parts/SKUs supplied in one month.

| SIO Severity Impact                                                                                 | Points | Defect Type       | *Business Critical Defects with DP3 |                                    |                         |                       |
|-----------------------------------------------------------------------------------------------------|--------|-------------------|-------------------------------------|------------------------------------|-------------------------|-----------------------|
| Business Risk Escalation / Offer Safety / Recall                                                    | 100    | Any (DP1/DP2/DP3) | SIO Severity Impact Points          |                                    |                         | Defect Severity Score |
| Repetitive Impact/issue or Critical Part                                                            | 10     | DP1 / DP2/DP3     | if SKU's <30 per Month              | if SKU's 30 ≥ SKU's <100 per Month | if SKU's ≥100 per Month |                       |
| Supply chain impacted                                                                               | 10     | DP1 / DP2         | 0                                   | 0                                  | 0                       | 10                    |
| No supply chain impacted                                                                            | 5      | DP1 / DP2         | 1-10                                | 1-20                               | 1-69                    | 8                     |
| Under Evaluation                                                                                    | 5      | Any (DP1/DP2/DP3) | 11-19                               | 21-29                              | 70-179                  | 4                     |
|                                                                                                     |        |                   | 20-30                               | 30-59                              | 180-599                 | 2                     |
|                                                                                                     |        |                   | >31                                 | >60                                | >600                    | 0                     |
| *Business Critical Defect # SIO Severity Impact as Business Risk Escalation / Offer Safety / Recall |        |                   |                                     |                                    |                         |                       |

General

**SQS for part  
and/or product  
suppliers (cont.)**

- **Supplier Responsiveness** KPI is measured based on suppliers' ability to be able to respond and act within time defined to containment, corrective and/or preventive actions on nonconformities. Following guidelines will be applied to confirmed nonconforming parts/products from suppliers:
  1. Confirmed nonconforming products should be recorded within 24 hours unless specified otherwise by local SQD. Compliance tracking will be implemented to ensure timeliness of recording and supplier notifications.
  2. When an 8D is required from the supplier, the following expectations should be communicated and tracked:
    - a) 3D containment and correction: 2 days
    - b) 5D corrective action: within 2 weeks
    - c) 7D preventive action: within 2 months

The score obtained for supplier responsiveness in the supplier quality score will be either +5 or 0, depending on the input from Schneider's reporting authority.

When supplier responsiveness is not as expected and local teams have been unable to get the required response, issues should be escalated to regional SQ Leaders and Central SQD Leader.

If Central SQD leader is unclear or not yet assigned, an alert should be sent to Global Procurement and Quality VPs for appointment of a leader.

In [Custom App](#)/ Defect management/SSP SCM 2.0, Responsiveness" attribute defaults to "Yes" for all suppliers. It's Schneider Electric SQE's responsibility to update it to "No" if a supplier fails to respond to a defect.

Responsiveness for past months cannot be changed. In exceptional cases, it may be updated by the data central team with valid justification, but this is not a standard practice.

$$\begin{array}{ccccccc}
 \text{Supplier Quality Score*} & = & \text{Defect Score*} & + & \text{Defect Severity Score*} & + & \text{Defect Responsiveness*} \\
 (30 \text{ Score}) & = & (15 \text{ Score}) & + & (10 \text{ Score}) & + & (5 \text{ Score})
 \end{array}$$

**SQS for Brand  
Labelling  
suppliers**

- **Supplier Defect Score** is calculated irrespective of quantity receipt & category PPM reference.  
The Defect Score is calculated based on the defect quantities reported in DP1, DP2, and DP3.  
The final Defect Score is assigned the lowest of the DPx Scores

Defect score calculation Matrix based on Defect Quantity

| DP1                  | DP2                  | DP3                  |
|----------------------|----------------------|----------------------|
| 15<br>(0 pcs)        | 15<br>(0 pcs)        | 15<br>(0 pcs)        |
| 9<br>(1 – 10 pcs)    | 9<br>(1 – 50 pcs)    | 9<br>(1 – 50 pcs)    |
| 6<br>(11 – 100 pcs)  | 6<br>(51 – 100 pcs)  | 6<br>(51 – 100 pcs)  |
| 3<br>(101 – 200 pcs) | 3<br>(101 – 200 pcs) | 3<br>(101 – 150 pcs) |
| 2<br>(201 – 300 pcs) | 2<br>(201 – 300 pcs) | 2<br>(151 – 200 pcs) |
| 1<br>(>300 pcs)      | 1<br>(>300 pcs)      | 1<br>(>200 pcs)      |

- **SIO Defect Severity Score** is calculated based on number SIO's occurred & points summed up based on Defect Severity Impact.

**Defect Severity Score**

| SIO Severity Impact                              | Points | Defect Type       |
|--------------------------------------------------|--------|-------------------|
| Business Risk Escalation / Offer Safety / Recall | 100    | DP3               |
| Repetitive Impact/Issue or Critical Part         | 10     | DP3               |
| Supply chain impacted                            | 5      | Any (DP1/DP2/DP3) |
| No supply chain impacted                         | 1      | Any (DP1/DP2/DP3) |
| Under Evaluation                                 | 1      | Any (DP1/DP2/DP3) |

**SIO Severity Impact Points**

| if SKU's <100 per Month | if SKU's 100 > SKU's <300 per Month | if SKU's >300 per Month | Defect Severity Score |
|-------------------------|-------------------------------------|-------------------------|-----------------------|
| 0                       | 0                                   | 0                       | 10                    |
| 1-10                    | 1-20                                | 1-30                    | 8                     |
| 11-19                   | 21-30                               | 31-60                   | 4                     |
| 20-30                   | 40-50                               | 61-80                   | 2                     |
| >40                     | >60                                 | >81                     | 0                     |

\*Business Critical Defect # SIO Severity Impact as Business Risk Escalation / Offer Safety / Recall

**Supplier responsiveness is evaluated using the same approach as that applied to non-brand labelling suppliers.**

Based on the sum of Defect score , Defect Severity score (SIO), and supplier responsiveness KPI the maximum SQS score that can be achieved by a supplier is 30 (excellent supplier).

$$\begin{array}{rclcl}
 \text{Supplier Quality Score}^* & = & \text{Defect Score}^* & + & \text{Defect Severity Score}^* & + & \text{Defect Responsiveness}^* \\
 (30 \text{ Score}) & & (15 \text{ Score}) & + & (10 \text{ Score}) & + & (5 \text{ Score})
 \end{array}$$



## Non-conformances management

Nonconformances can occur in our supply base at various stages when a component, assembly part, materials, service, solutions, or process fails to meet or deliver specified and agreed-on requirements, standards, or expectations through PPAP or service qualification process. In the case of parts and products this can also include packaging and labelling issues.

All Supplier defect occurrences (non-conformances) should be reported in [Custom App](#)/ Defect management/SSP SCM 2.0 Platform. Key Suppliers shall be onboarded in [SupplyOn](#) Platform to receive real time communication and to manage issue management process.

Issue to Prevention (I2P) is the Schneider Electric global end-to-end process used to solve, understand, and prevent issues.

### Corrections - Issue to Resolution

- ✓ Must be initiated to provide immediate resolution of a customer issue.
- ✓ The issue should be entered in Custom App/ Defect management/SSP SCM 2.0 Platform by Schneider Electric Supplier Quality Representative.
- ✓ Supplier will receive an email notification that a nonconformity has been recorded and actions to be taken by Supplier will be defined in [SupplyOn](#) Platform.
- ✓ It may trigger Problem to Prevention if issue is severe in [bFO Platform \(I2P\)](#).
- ✓ Generates data recording about one instance of an issue and their resolutions.

### Corrective Actions - Issue to Problem

- ✓ Analyzes data records from issues and resolutions.
- ✓ Identifies and categorizes systemic problems.
- ✓ May trigger Problem to Prevention if issue is recurring.

### Preventive Actions - Problem to Prevention

- ✓ Permanent correction and prevention of a systemic or severe problem.
- ✓ Addresses many issues at once, correcting root of the problem.
- ✓ Must be initiated for the following severe and recurrent issues by Schneider Electric Supplier Quality Representative: – Confirmed Customer Safety Issues
  - Identified Offer Safety Risks
  - Business Risk Escalations
  - Any other severe and recurrent issue
  - Suppliers with recurrent or severe issues impacting Schneider Electric are managed by bridge Front Office tool (bFO) as a supplier problem (PRB).

## Most Impacting Quality Suppliers

Schneider Electric's Suppliers, that have consistent quality issues will show a trend of low performance reported in the Supplier Performance Monthly Scorecards.

### Non brand labeling Suppliers (Except N\* Series Categories)

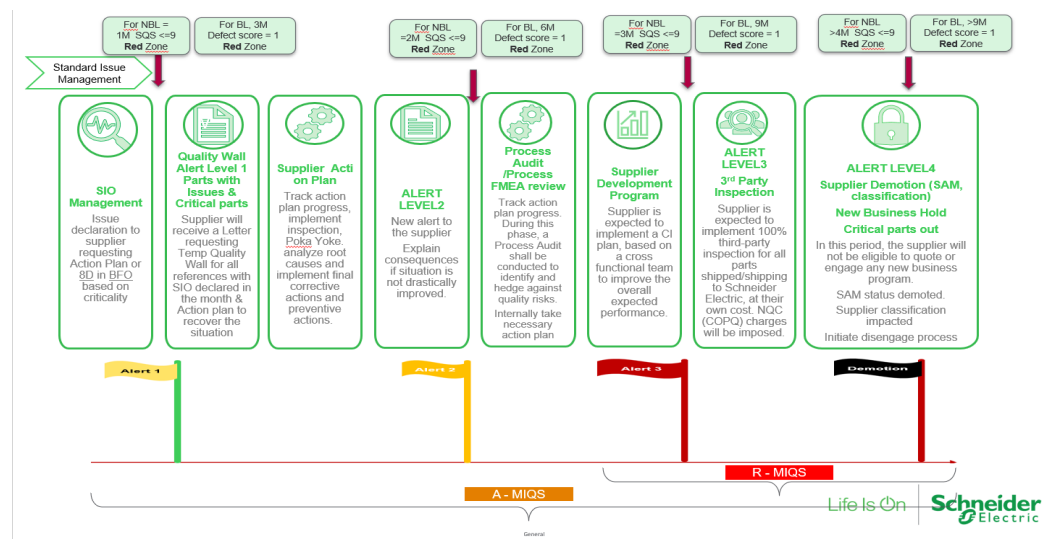
- **A-MIQS:** SQS  $\leq 9$  for 1 month over 6 rolling months.
- **R-MIQS:** SQS  $\leq 9$  for  $\geq 3$  repetitive months over 6 rolling months.

### Brand labeling Suppliers (N\* Series Categories)

- **A-MIQS:** Defect score = 1 for 3 months over 12 rolling months.
- **R-MIQS:** Defect score = 1 for  $\geq 9$  repetitive months over 12 rolling months.

For brand-labelling suppliers, the response timeline for identification as MIQS is affected due to Schneider Electric's internal analysis, the logistics involved in receiving customer-returned defective parts, and the supplier's subsequent investigation of those defects.

Schneider Electric provides Suppliers with guidance and action plans to prevent their qualification or classification from being demoted or to avoid disengagement by Schneider Electric. The expected actions and engagement to be followed are shown below:



General

## Alert 1

### 1<sup>st</sup> Alert (Alert level 1)

Suppliers must execute a containment action plan and/or appropriate corrective actions to improve in the next month with the affected Schneider Electric manufacturing plans.

- Temp. Quality Wall\* Level 1 would need to be defined and followed by the Supplier.
- Support will be provided to Suppliers by Plant SQE at Schneider Electric. Support should primarily guide Suppliers on developing effective root cause analysis, corrective and preventive actions.

## Alert 2

### 2<sup>nd</sup> Alert (Alert Level 2)

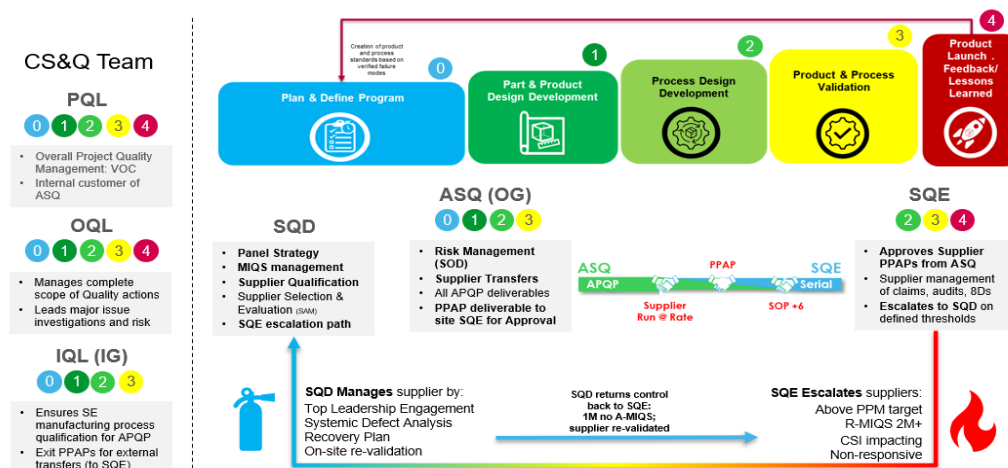
- Internal escalation calls should be held with Supplier senior leadership and their corporate quality teams. Supplier Leadership team should be informed of potential consequences if status is not improved.
- A process audit should be conducted to identify further persistent quality risks.
- The action plan should be revised and put in place by Supplier before 3<sup>rd</sup> Alert.
- Overall Supplier performance is expected to be improved through a continuous improvement plan by Regional Supplier Quality Leaders.

## Alert 3

### 3<sup>rd</sup> Alert (Alert Level 3)

- Supplier is expected to implement 100% third-party inspection for all parts shipped/shipping to Schneider Electric, at their own expenses.
- NQC(COPQ) charges will be initiated/implemented (Please refer to **GL-DirQ-en-040 Global Cost of Poor Quality Directive**)

## SQE Escalation Path to SQD in MIQS Process



General

- 
- Documented evidence should be submitted of the supplier review with their commitment to drive the needed improvements. Convergence curves should use charts such as Paynter charts and show data trends by month compared to the expected standard.
  - Internal escalation calls, with Procurement Leaders (Schneider Supplier Leaders and Category Leadership), Global Supplier Quality team and Regional Supplier Quality team must be held with clear decisions to be taken if the supplier doesn't expect the recovery plan they developed. If the supplier reaches 4M with the R-MIQS, the agreed upon action is to be taken without deviation.



## 4th Alert (Alert Level 4)

- Schneider electric will make the decision to downgrade, block, demote, or otherwise prevent Supplier from further doing business with the company without consequence.
  - Identified low performing Suppliers may have their supplier classification status and/or Supplier qualification status impacted by a demotion decision. On high-risk cases which might impact Schneider Electric business operations, final decision taken would result in Supplier disengagement.
  - No supplier shall have "watch and monitor" as a status after 4Ms of R-MIQS results unless the actions and convergence plan are showing a positive trend but are still failing to meet the achieved requirements. In such case, a derogation request may be submitted (and documented in the internal escalation call), stating the reasons with a timeline of no longer than 3 months. Failure to achieve after 3 months, or negative report before the 3 months ends, requires the team to demote the supplier as originally intended.
-

## Process Outputs

- Monthly Supplier Reports
- Monthly Supplier Scorecards
- Supplier Monthly Communication via SSP SRM

## Monitoring & Control

- The audit program for monitoring/evaluation reference **GL-DirQ-en-009 Internal IMS Audit Directive**

## Roles & Responsibilities

| Role                   | Responsibilities                                                                                                                                                                             |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Process Owner          | <ul style="list-style-type: none"> <li>• Monitor effectiveness of this process</li> <li>• Review adequacy of this document</li> <li>• Extract data for monthly reports/scorecards</li> </ul> |
| Site SQE               | <ul style="list-style-type: none"> <li>• Log the nonconformance</li> </ul>                                                                                                                   |
| Regional SQ            | <ul style="list-style-type: none"> <li>• Validate nonconformances</li> <li>• Corrective actions on negative trends</li> </ul>                                                                |
| VP Procurement Quality | <ul style="list-style-type: none"> <li>• Monthly review with regions on performance to target, effectiveness, and corrective actions on negative trends.</li> </ul>                          |

## Competency Requirements

| Role                   | Knowledge              | Competency Level | Intervention      |
|------------------------|------------------------|------------------|-------------------|
| Process Owner          | Process Subject Matter | Advanced         | Internal Training |
| Site SQE               | Process Subject Matter | Competent        | Internal Training |
| Regional SQ            | Process Subject Matter | Advanced         | Internal Training |
| VP Procurement Quality | Process Subject Matter | Expert           | Internal Training |

## Quality Records

| Record                               | Record Location  | Retention Period                          |
|--------------------------------------|------------------|-------------------------------------------|
| Supplier Scorecard                   | SSP SRM          | Lifetime of supplier engagement + 5 years |
| QBR                                  | Teams/SharePoint | Lifetime of supplier engagement + 5 years |
| Quarterly Scorecards                 | Teams/SharePoint | Lifetime of supplier engagement + 5 years |
| Monthly Critical Category Scorecards | SharePoint       | Lifetime of supplier engagement + 5 years |

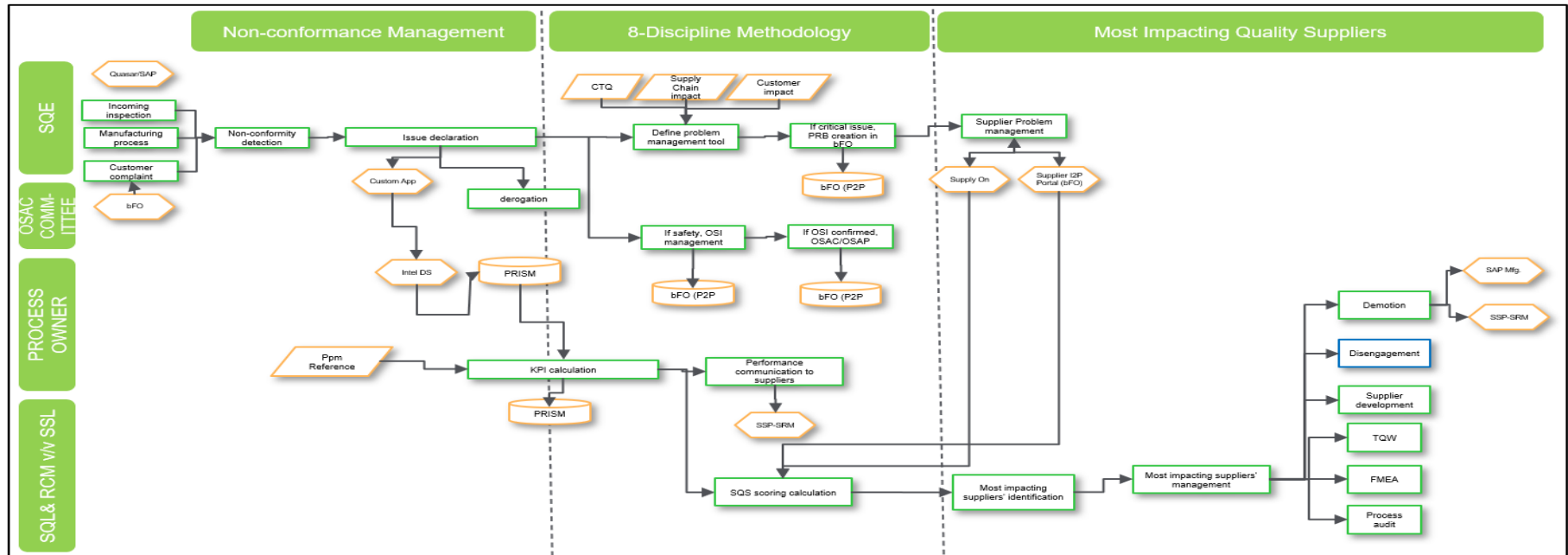
## Terms & Acronyms

The table below includes definitions for terms and acronyms used in this document. Reference [iSEE](#) for a full list of terms and acronyms used in the SE IMS.

| Term   | Definition                          |
|--------|-------------------------------------|
| KPI    | Key Parameter Indicators            |
| SQS    | Supplier Quality Score              |
| PPM    | Parts per Million                   |
| SIO    | Supplier Issue Occurrence           |
| SQD    | Supplier Quality Development        |
| QBR    | Quarterly Business Reviews          |
| Q's    | Quarters                            |
| I2P    | Issue to Prevention                 |
| APQP   | Advanced Product Quality Planning   |
| PBR    | Problem                             |
| CS&Q   | Customer Satisfaction & Quality     |
| bFO    | Bridge Front Office                 |
| MIQS   | Most Impacting Quality Suppliers    |
| R-MIQS | Repetitive Most Impacting Suppliers |
| A-MIQS | All Most Impacting Suppliers        |
| IG     | Internal Group                      |
| OG     | Outside Group                       |

## Appendix A: Supplier Performance Monitoring Map Flow

### Supplier performance monitoring / Supplier non conformity management



General

## REVISION HISTORY SUMMARY

| Approvers                                    | Requested By             | Change Description                                                                                                                                                                                                                                                                                                         | Reason for Change                                                                                                                                     | Revision | Revision Date | Contributors |
|----------------------------------------------|--------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------|--------------|
| ERIC JACQUOT;<br>CHARLES<br>JERVAIS          | PRATIBHA<br>PATTANSHETTI | Implementation of new<br>SQS logic                                                                                                                                                                                                                                                                                         | New logic is<br>added to have<br>better governance<br>and reporting<br>structure including<br>Brand labelling<br>and non brand<br>labelling suppliers | 2.0      | 03/10/2026    |              |
| MAGDALENA<br>MICHULEC;<br>CHARLES<br>JERVAIS | PRATIBHA<br>PATTANSHETTI | * This document has been<br>migrated from the Global<br>QMS Documents Platform<br>(SharePoint) without revision<br>changes. Process<br>owner/Document author<br>and revision details are<br>specified in the document<br>itself.<br><br>* A summary of previous<br>revisions is available only in<br>the migrated version. | Document<br>migration                                                                                                                                 | 1.0      | 07/22/2024    |              |